

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester III Examination, 2022-23

Paper No. BCF-211: Corporate Accounting

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Ayush Ltd. issued for public subscription 20,000 equity shares of Rs. 10 each at a premium of Rs. 2 per share, payable as under:

- On application: Rs. 2 per share
- On allotment: Rs. 5 per share (including premium)
- On first call: Rs. 2 per share
- On second call: Rs. 3 per share

Applications were received for 30,000 shares. Allotments were made pro-rata to the applicants for 24,000 shares, the remaining applications being rejected and their money returned. Money over-paid on application was utilized towards sums due on allotment.

A, to whom 800 shares were allotted, failed to pay the allotment and calls money; and B, to whom 1,000 shares were allotted, failed to pay the two calls. All the shares were subsequently forfeited after the second call was made. All the forfeited shares were sold to X as fully paid-up at Rs. 8 per share.

Show the Journal Entries required to record the above transactions in the books of Ayush Ltd... [14]

OR

What do you understand by underwriting, sub-underwriting and firm underwriting? What are the various provisions in Companies Act, 2013 regarding Underwriting Commission? [14]

Question 2.

R Ltd. was absorbed by P Ltd. as on 31st March, 2022. All the assets and liabilities of R Ltd. were taken over by P Ltd. The purchase consideration was agreed at Rs. 3,36,600 and was payable in fully paid equity shares of P Ltd. distributed to the equity shareholders of R Ltd.

The following are the Balance Sheets of both the companies as on 31st March, 2022:

You are required to:

- (a) Show necessary Journal Entries in the books of R Ltd.
- (b) Show necessary Ledger Accounts in the books of P Ltd.
- (c) Prepare the new Balance Sheet of P Ltd. after amalgamation.

Particulars	P Ltd. (Rs.)	R Ltd. (Rs.)
I. Equities and Liabilities:		
(1) Shareholders' Funds:		
Equity shares of Rs. 10 each, fully paid-up	7,50,000	2,00,000
Reserves and Surplus:		
General Reserve	1,50,000	50,000
Profit & Loss Account	20,502	12,900
(2) Non-current Liabilities:		
Workmen Compensation Fund	12,000	9,000
Staff Provident Fund	10,000	4,000
(3) Current Liabilities:		
Sundry Creditors	58,567	30,456
Provision for Taxation	12,000	5,000
Total	10,13,069	3,11,356
II. Assets:		
(1) Non-current Assets:		
Goodwill	2,00,000	60,000
Plant and Machinery	3,12,000	1,00,000
(2) Current Assets:		
Stock in Trade	2,65,000	80,000
Sundry Debtors	2,21,200	56,000
Prepaid Insurance	—	700
Income-tax Refund Claim	—	6,000
Cash in Hand	869	356
Cash at Bank	14,000	8,300
Total	10,13,069	3,11,356

OR

[14]

What do you mean by amalgamation in the nature of merger and in the nature of purchase?

What is the difference between the two?...

[14]

Question 3.

The Balance Sheet of Adarsh Ltd. as on 31st March, 2022 is as under:

Particulars	Amount (Rs.)
I. Equities and Liabilities:	
Share Capital:	
7% Preference shares of Rs. 10 each	16,000
Equity shares of Rs. 10 each	40,000
Profit & Loss Account (deficit)	(22,260)
Less: General Reserve	18,140
Net Deficit	(4,120)
Non-current Liabilities:	
7% Debentures of Rs. 10 each	8,000
Current Liabilities:	
Creditors	10,980
Total	70,860
II. Assets:	
Non-current Assets:	
Fixed Assets	18,680
Current Assets:	
Stock	32,500
Debtors	18,700
Cash	980
Total	70,860

A scheme of reconstruction duly approved by the court and implemented by the company is as under:

- (i) Each Rs. 10, 7% debentures be exchanged for one Rs. 5, 10% debenture; one new 10% preference share of Rs. 2.50 and one new equity share of Rs. 2.50 each.
- (ii) The preference shares (7%) are to be reduced to Rs. 3.75 of which Rs. 1.75 will be represented by new equity shares and Rs. 2 by new 10% preference shares.
- (iii) Equity shares are to be reduced to Rs. 2.50 each.
- (iv) Both preference shares and equity shares are to be consolidated into shares of Rs. 10 each.
- (v) The Capital Reduction Account, after writing-off losses, is to be used in writing-off fixed assets and stocks proportionately.

Give Journal Entries and prepare the Revised Balance Sheet of the Company. [14]

OR

What is Capital Reduction Account? When, why and how is it prepared? [14]

Question 4.

Following was the position of Rudra Ltd. on 31st March, 2022:

- Property: Rs. 90,000; Machinery: Rs. 30,000; Stock: Rs. 10,000.
- Profit & Loss Account (Dr): Rs. 5,000.
- 5% Debentures: Rs. 50,000; Loan on mortgage: Rs. 10,000.
- Unsecured creditors: Rs. 7,000; Income-tax (2020-21): Rs. 2,000.
- 4,000, 6% Preference shares of Rs. 10 each; 2,600 Equity shares of Rs. 10 each.

Debentureholders have a floating charge on all the assets of the company. A receiver has been appointed by the debentureholders. There is voluntary liquidation of the company and a liquidator has been appointed.

After taking into consideration the following information, prepare the Receipts & Payments Account of the Receiver and the Liquidator's Final Statement of Account:

1. Machinery is lodged as a security against mortgage debt. Machinery realized Rs. 25,000.
2. Assets worth Rs. 80,000 were placed in the charge of the receiver who realized Rs. 78,000 on these assets. His remuneration is Rs. 400 and his cost is Rs. 200.
3. Cost of liquidation is Rs. 800; Liquidator's remuneration is Rs. 500.
4. Liquidator received Rs. 9,500 from the sale of remaining property.
5. Legal expenses in liquidation Rs. 100.

[14]

OR

Define Holding Company and Subsidiary Company. What is Consolidated Balance Sheet and how is it prepared?

[14]

Question 5.

Prepare a Statement of Affairs of a Company as per Companies Act, 2013.

[14]

OR

Explain the following:

[7+7]

- (a) Minority interest of shareholders and its calculation
- (b) Cost of control